Research Statement

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My research asks about how the degree of institutional centralization affects the realization of common objectives, affects the distribution of costs and benefits, and leads to demands for alterations in institutional form. I pay particular attention to participants' responses to and altering of incentive mechanisms, including in electoral and market venues. To address these questions, I employ a combination of methods, including laboratory experiments, agent-based simulation, and quasi-experimental analysis, the latter which I employ in my job market paper.

Institutional Enforcement and Popular Support

My job market paper, "Threats, Stakes, and Backlash: Evidence from the European Union on Economic Coercion within Organizations" examines one such institutional arrangement – the semi-centralized European Union. I investigate the enforcement of institutional rules within this organization, by studying a rule-of-law conflict between the Polish government and the European Commission (EC). In this episode, the EC first condemned the behavior of the incumbent Law and Justice (PiS) party, first attempting to persuade the government directly to change its actions, and then condemning their officially, directly informing the Polish public and the domestic electoral process. When this action failed to produce governmental compliance, the EC passed regulations which froze the flows of internal EU financial aid programs, escalating the conflict into economic coercion.

Empirically, the exposure to this aid, measured as aid received relative to the local economic size, differs across the country. I exploit the resulting differences in salience and potential losses to study both the effects of the informational intervention and the economic coercion, testing the mechanism of intra-organizational compliance through electoral pressures. My design compares the within-locality changes between the elections before and during the two phases of this episode, using a weighted difference-in-difference approach to compare the effects of the interventions on the average voter.

The clearest finding is that the two phases of the conflict, informational persuasion and economic coercion, have significantly different effects. I find that during the persuasion period, more-exposed voters exhibit a slight backlash, moving in favor of the incumbent and against EU-favorable parties, although statistical significance depends on specification. A significant reversion follows the onset of economic coercion, with the average more-exposed voter moving significantly away from the incumbent party. Conditional on controls and weighted by electorates, the PiS vote share dropped 0.48 percentage points more in more-exposed areas as compared to less-exposed areas. The wider anti-EU block similarly dropped an additional 0.58 percentage points in more- compared to less-exposed areas. This effect is robust to specification and is consistent with the use of economic coercion as an electoral disciplinary tool. However, the combined effect of the two sanctioning periods, when comparing changes relative to the pre-period across more- and less-exposed areas, is not statistically different from zero. Thus, the effects of coercion are likely real, but they are in tensions with electoral backlash to supranational intervention.

I chose to study this episode because the clear sequencing of interventions and the geographic variation in the exposure to real stakes, provides a relatively clean empirical setting for testing the effects of economic coercion, with the prior informational period providing a suggestive mechanism test. However, the implications of this study extend beyond sanctions or multinational institutions, however. A core takeaway from this work is that organizations may be able to preserve internal rules by enforcing against non-compliant units through interventions that affect their power base – however, doing so should carry real stakes, as empty threats may lead to backlash without compliance.

Institutional Design and Efficiency

In my published paper, "The Hole in the Doughnut: Formalizing and Testing a Key Model of Degrowth," with Ashruta Acharya and Vincent Geloso, approaches institutional comparison through the choice of evaluative criteria. I examine how market organization relates to performance under a framework that incorporates the balance of social and ecological objectives. The question is whether institutions associated with freer markets perform poorly when evaluated against this broader set of goals, as opposed to the narrow profit criterion. I find no substantial evidence for this claim in a cross-national panel study. This project motivates a recurring question in my research: which forms of economic organization deliver outcomes acceptable to participants with different priorities?

In "Regulatory Stringency and Endogeneity," with Vincent Geloso and Alex Tabarrok, I study a problem central to the optimal form of institutional control - when comparing centralized public regulation and decentralized litigation, does the endogenous selection into those enforcement arrangements bias our understanding of their effectiveness? In this project we exploit the scaling laws of regulations to mitigate the effects of endogenous selection, using a two-stage least squares approach to evaluate regulatory outcomes across states and industries, finding that endogenous selection may indeed bias naïve analytical approaches. My longer-term objective is to identify the circumstances in which regulation or litigation better achieves a given objective, accounting for enforcement costs and distributional consequences, which this paper abstracts from.

In work on the centralization of market institutions, I measure the effects of adjusting the institutional rules of trading – with coauthored projects on automated market making (AMM) comparing both rules across AMM designs and between using AMM markets and crossing markets. In the future I plan to work on the intersection of regulations and market centralization, connecting my work on regulations to both realized and experimental market structures.

Demand for Intervention and Institutional Change

Investigating the demand for intervention is complementary to my agenda. In "Action Bias or Illusion of Control?" with Kevin McCabe and Johanna Mollerstrom, I use a laboratory experiment to distinguish a preference for action from the biased belief that personal involvement in a stochastic process changes an outcome. Our design directly compares personal involvement in a determinstc and a stochastic dice game, with involvement being entirely immaterial to payoffs. We find convincing evidence for an action bias, though little evidence for an illusion of control bias. I plan to directly relate this work to my broader research agenda by extending it to regulatory

choice, allowing participants to choose costly regulatory arrangements whose effectiveness and visibility are varied experimentally.

In related work on institutional formation, coauthored with Kevin McCabe, I use agent-based simulations to investigate the emergence of spatial market centralization from different initial conditions, using this simulation model to explore the effects of forced market breakups and historical dependence. I plan to extend this work to further address questions of market intervention, including dynamic effects which cannot be easily captured well in lab or field work.

Future Research Direction

My future research will connect institutional performance to their internal and political sustainability, with an application to investigating the interplay of political institutions and market systems via popular pressure. The first set of experiments I want to explore here involves subjects self-selecting into regulatory institutions, with feedback over time allowing learning and the formation of a demands for appropriate institutional form. I additionally want to bridge the experimental and empirical approaches by investigating what motivates people to support candidates monetarily by varying highlighted aspects of platforms and candidates before participating in a dictator game.

I plan to complement these experiments with observational evidence on political support for institutions, investigating both the relationship between support and outcomes and the relationship between support and process or form. Simulations will complement these finding through investigations of long-run dynamics and closing stochastic analytical models.

As these institutions are paralleled in many within-firm arrangements, this setting may present an additional application. The within-firm allocation of budgets mimics the redistributive nature of government program, while the imposition of behavioral directives imposes global rules with distributional properties. This setting could allow for both observational and field experimental studies but is presently a secondary extension.